

From CEO Narratives and Policy Exposure to Research Questions

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The following research questions emerge from a systematic analysis of CEO strategic narratives and industrial-level policy exposure across 28 major foreign firms operating in China, spanning automotive, technology, financial services, and consumer goods sectors.

Research Question 1

Does CEO narrative sentiment toward China predict actual capital allocation decisions, or do firms "talk engaged" while quietly de-risking?

Our data reveals a potential gap between rhetoric and action: European auto CEOs (BMW, VW, Mercedes) maintain strongly optimistic narratives, yet aggregate FDI data shows foreign investment in China plateauing. Similarly, HSBC's enthusiastic Asia pivot language coexists with broader banking-sector retrenchment. This tension suggests CEO narratives may serve a diplomatic or signaling function distinct from actual repositioning. A panel dataset combining NLP-derived earnings call sentiment scores, firm-level capital expenditure in China from annual reports, and subsidiary registration data from Chinese corporate registries could test whether sentiment shifts precede, follow, or diverge from investment changes, using policy shocks (e.g., October 2022 export controls) as natural experiments. This question speaks directly to the reliability of corporate narratives as data in international business research, which is increasingly common in operations management and political risk literatures.

Research Question 2

How does firm nationality moderate the relationship between China-related policy shocks and corporate strategic responses?

A striking pattern is the US-European divergence: American firms (NVIDIA, Microsoft, JPMorgan, BlackRock) cluster toward de-risking, while European firms (BMW, VW, Mercedes, Siemens, Nestle) maintain cautious-to-optimistic engagement, even within the same industry. The question is whether this reflects asymmetric regulatory exposure (US export controls binding directly on US firms) or deeper institutional differences in managing geopolitical risk. A matched-pairs design comparing US and European firms exposed to the same policy event could isolate the nationality effect. Within-industry pairs such as Qualcomm vs. Infineon in semiconductors or Goldman Sachs vs. Deutsche Bank in financial services offer clean comparisons, though these European comparators fall outside the assigned firm list and would need to be added for a full empirical study. This contributes to the varieties-of-capitalism literature and illuminates whether US and European firms can be treated as a unified Western bloc in de-risking policy discussions.

Research Question 3

Does "parallel localization" (simultaneously deepening China operations while reshoring elsewhere) represent a stable equilibrium or a transitional posture toward decoupling?

Several firms pursue dual-track strategies: BMW invests 2.5 billion euros in Shenyang while building EV capacity in Europe; Intel accepts CHIPS Act subsidies constraining China expansion while calling China "one of its most important markets"; Tesla maintains Shanghai while expanding in Texas, Berlin, and Mexico. This pattern does not fit existing engagement-vs.-retreat frameworks. Longitudinal case studies tracking capital expenditure allocation, supply chain restructuring, and patent filing locations across geographies could assess sustainability, with the IRA EV provisions serving as a natural experiment forcing supply chain reorganization. For operations management, this raises questions about the cost-efficiency trade-offs of redundant supply chains under geopolitical uncertainty and whether firms can sustain strategic ambiguity indefinitely.

Research Question 4

How does the sequencing of regulatory events affect CEO narrative framing of uncertainty, and does framing vocabulary predict subsequent operational decisions?

CEO language follows identifiable patterns after policy shocks: NVIDIA shifted from engagement to "closed market" vocabulary within 18 months of export controls; Dimon moved from "opportunity" framing to "risk-reward has changed dramatically." These vocabulary shifts (opportunity to risk, growth to compliance, strategic to defensive) appear to follow a predictable sequence, but whether framing itself has predictive power beyond simply reflecting decisions is open. Text-as-data analysis of quarterly earnings call transcripts (2015-2025), using dictionary-based and embedding-based measures of China-related uncertainty, combined with an event-study framework around the 14 mapped policy events, could estimate narrative response dynamics and test predictive power for subsequent restructurings and supply chain adjustments. This extends the Hassan et al. (2019) political risk measurement framework to China-specific geopolitical exposure.